

**Draft for exact-file review**

Proposed language. Accepted source facts retain their original status. No execution, filing, payment or clearance is established by this edition.

ARU credit, security and payoff document drafts

Document ID: SH-LEGAL-DRAFT-DEBT-LIENS

Gap: LEGAL-GAP-DEBT-LIENS

Version: 0.1.0

Prepared: 2026-09-12

Status: DRAFT_FOR_REVIEW — proposed credit terms and evidence requests; unsigned

Owner: Treasury / Industrial Finance / Legal

Effective date and approval: not established for these drafts. January 7, 2026 is the accepted acquisition date, not a new execution date.

1. Facilities and evidence boundary

The closing statement, transaction accounting model and finance source establish the selected acquisition funding model. They do not identify an independently confirmed lender, perfected collateral package, executed credit agreement or discharged lien. This packet supplies proposed operative clauses, a security schedule structure and requests that could obtain the missing support. It does not certify debt discharge or authorize a transfer.

For drafting, ARU is proposed as borrower for the modeled acquisition term facility. Legal must verify the final borrower, lender, guarantors and permitted upstream funding against accepted transaction authority before execution. The source model's debt position is not itself a lender signature. No parent or subsidiary guarantee is created by inclusion in the corporate perimeter, and BS&T's separate operating status is preserved.

2. Proposed term-credit agreement

Parties for completion: proposed Borrower: American Resource Utility, Inc., subject to verified authority.

Lender legal party: _____. Facility reference: _____. Actual execution date: _____. Upon execution and completion of the facility and authority schedules, the following clauses shall govern the parties; this review copy is unexecuted.

2.1 Commitment and permitted application

The lender identified in a completed facility schedule shall make a term advance of \$22,500,000, subject to agreed conditions precedent. The selected source applies \$13,500,000 to old term/revolver refinancing and \$9,000,000 to the upstream acquisition funding bridge. Together they use the modeled term advance once. The upstream amount shall not be described as revenue, additional purchase consideration or a second parent equity contribution.

A proposed draw request shall identify requested date, amount, authorized purpose and approved receiving instruction reference. The lender shall have no obligation under this unexecuted draft. Before an operative draw, Treasury shall compare the request with the closing funds flow and confirm that retained finance leases are excluded from the payoff amount. Any unused amount shall remain identifiable; it shall not be swept into an unexplained acquisition expense.

2.2 Interest and principal

For this review draft, the economic schedule adopts the source model's 6.75% annual term rate, ACT/365 interest convention and \$375,000 quarterly principal installments beginning April 7, 2026. These are modeled inputs, not verified market quotations or historical lender terms. The source's 60-month debt-issuance-cost amortization period does not by itself establish legal maturity. The draft carries ACT/365 as the source model convention; lender acceptance remains unverified. Actual contractual maturity, business-day adjustment, late interest and prepayment treatment remain unresolved commercial fields.

A payment schedule shall separate opening principal, scheduled principal, interest calculation, fees, actual settlement and closing principal. The borrower shall not capitalize unpaid interest or defer principal without a separately accepted amendment. A variance from the model shall be shown in a successor reconciliation rather than concealed by altering the historic opening bridge. Any model interest reperformance shall use ACT/365 and the supported dated balances. A modeled daily amount shall not be labeled a lender-confirmed payoff accrual.

2.3 Revolver and retained leases

The separate modeled revolver has \$5,000,000 capacity and zero draw in the selected case. Its undrawn commitment fee is modeled at 0.25% annually. The reference to floating SOFR plus 3% is illustrative; no current SOFR fixing or drawn interest amount is supplied. At a full-year constant undrawn balance, the simple fee sensitivity is \$12,500 before any unestablished timing convention. Capacity is not debt principal or available bank cash.

The \$2,500,000 retained finance leases remain separate from both facilities. Their inclusion in pre-close gross debt must not cause a second payoff. Lease lender identity, assets, consent requirements and actual settlement evidence require the native schedules. A proposed lease-consent request shall identify a specific lease and change-of-control clause; this credit draft does not waive that clause by assuming consent.

3. Proposed conditions and borrower undertakings

Before the first advance, the parties shall complete the facility schedule, verify signing authority, reconcile sources and uses, identify permitted upstream funding and list any security documents actually required. Legal shall document unresolved collateral or consent conditions and the party authorized to accept an exception. An unchecked condition shall remain open rather than become satisfied through payment-model output.

During the facility, the borrower shall maintain separate books, preserve material asset records and report material discrepancies in debt balances or claimed collateral. The borrower shall provide a quarterly debt reconciliation within 45 days after quarter-end and notify the designated lender contact of a discovered material payment or collateral dispute within five business days. These deadlines are proposed review terms, not duties established by the existing source model.

A covenant schedule shall identify any agreed financial test, exact definition, calculation period, threshold, cure provision and permitted adjustments. No leverage ceiling, coverage minimum, restricted-payment basket or cross-default threshold is proposed by implication. Until a numerical covenant is accepted, this packet supports debt reconciliation but cannot produce a compliance certificate. The normalized EBITDA and net-debt ratio in the closing narrative remain analytical measures rather than covenant definitions.

4. Proposed security agreement and collateral schedule

Upon execution of a separately approved Security Schedule, each named Grantor grants only the security interests expressly described in that schedule, subject to its listed exclusions and required consents. No grant takes effect before the schedule and authority record are complete. This unsigned draft contains no present grant. A proposed schedule shall identify grantor legal entity, asset class, asset/register identifier, location, ownership evidence, existing encumbrance, permitted exclusion, required consent and intended security instrument. Legal shall determine the steps required for the specific assets and jurisdictions; no filing or perfection conclusion is supplied here.

Railway property, leased equipment, mine assets, customer property and third-party hosted equipment must not be gathered into an unspecified group-wide lien. BS&T shall be a separate proposed grantor only if its proper authority approved a specific security instrument. RWH is not made a guarantor merely because its logistics dependency motivated the acquisition. Parent equity ownership does not transfer title to operating assets into SHIH.

The proposed borrower shall preserve identifiable collateral records and notify the lender of an intended material disposal affecting agreed security. Ordinary-course transactions and permitted disposals shall be governed by the negotiated schedule, not an unlimited implied lender veto over operations. A disputed collateral claim shall be referred to Legal with the affected asset and instrument. Safety, operating qualification and lawful custody duties shall remain with the operator despite financing pressure.

5. Proposed payoff request to existing lenders

Treasury shall request a dated payoff statement for each old facility within the modeled \$13,500,000 term/revolver refinance. The request shall ask the lender to identify borrower, facility reference, principal, accrued interest through a stated date, daily accrual thereafter if applicable, separately authorized fees, receiving instruction reference, validity period and the consequences of receipt. No lender name, account or routing number is fabricated in this public draft.

The requested statement shall specify which obligations shall be extinguished and which shall survive. It shall identify any revolving commitment to be cancelled, contingent exposure, guarantee or security release condition, and documents the lender undertakes to deliver after verified payment. A statement of principal alone shall not be accepted as evidence that every lien is released. Treasury shall compare the statement to the model and return any difference for documented resolution before an instruction could proceed.

The request shall expressly exclude retained finance leases unless a separately approved transaction identifies them. An amount paid to the seller or escrow agent shall not count as lender payoff. Closing delivery ARU-CL-03 establishes internal payoff instructions in the reconstruction; the requested independent response remains absent until actually supplied through accepted evidence.

6. Proposed release undertaking and evidence receipt

Upon execution of the Release Undertaking, the named Lender shall release only the instruments identified in the completed release schedule when the stated settlement conditions are met. The schedule shall identify each instrument, grantor, affected asset or filing reference and release condition. The undertaking shall state whether the lender will provide an executed release, consent to a specified filing, return held collateral documents or take another identified step. Legal shall verify sufficiency for the relevant security rather than using a generic “all liens cleared” sentence.

After supported settlement, Treasury shall retain payment evidence, the lender's receipt acknowledgment and any continuing exception. Legal shall compare delivered releases against the original security schedule and report missing items by instrument. A closing checklist entry, internal journal or automated bank-model movement shall not substitute for those records. An unresolved release shall remain open even if debt principal is modeled as zero.

7. Reconciled source schedules

Closing bridge	USD	Treatment
Buyer-funded share consideration	48,000,000	Includes direct seller \$45M and ARU escrow \$3M
Old term/revolver payoff	13,500,000	Additional use; excludes retained leases
Total uses before fees	61,500,000	\$48M + \$13.5M
New term advance	22,500,000	Source of funds

Closing bridge	USD	Treatment
Parent equity before fees	39,000,000	Source of funds
Total sources before fees	61,500,000	\$22.5M + \$39M
Transaction/legal/adviser expense funding	900,000	Separate from debt issuance cost
Debt issuance cost funding	300,000	Separate financing cost
Parent cash including fees	40,200,000	\$39M + \$0.9M + \$0.3M

Principal at modeled close	USD
New term principal	22,500,000
Retained lease principal	2,500,000
Total funded principal	25,000,000
Less retained cash	(2,000,000)
Net principal debt	23,000,000

The two schedules serve different purposes and must not be totaled together. Carrying value may differ from principal because of unamortized issuance costs. No independent balance confirmation is supplied by these arithmetic checks.

8. Review and completion

Finance would verify the source bridge, Treasury would complete lender and instruction references, and Legal would identify facility, collateral and release exceptions. The final review would distinguish accepted model terms, newly proposed reporting provisions and unresolved negotiated terms. Approval of a draft layout would not accept a borrower guarantee, security grant or external payment. No completed signature or filing acknowledgment accompanies this packet.

Facility, collateral and release completion sheet

Complete one sheet per applicable instrument. These blank fields are review placeholders, not signatures or evidence of acceptance. No instrument is effective solely because this sheet is printed.

Completion field	Entry
Entity / instrument / version	_____
Approving capacity and authority source	_____
Actual adoption or execution date	_____
Completed economic / ownership / collateral schedule reference	_____
Conditions satisfied; unresolved exceptions	_____
Authorized signatory name and capacity	_____
Signature — blank, not executed	_____
Counterparty or separate approving capacity, if applicable	_____
Counterparty signature and actual date — blank	_____

Attach separate schedules for: facility amount/rate/maturity/day count; each collateral grantor and asset/exclusion/consent; each old facility payoff with value date; and each release instrument with settlement condition and delivery evidence. A completed borrower signature does not sign for a guarantor or grantor.